

taking the money from your online account that you set up under your bank account when you set up your 5 bricks. So your income will go into your online bank account until it reaches a certain number (e.g. \$500), then at the appointed time it will get autoinvested.

Avoid these 5 beginner investor mistakes

A wise person learns from their mistakes; a wiser person learns from the mistakes of others. Here are five of the most common mistakes investors in training make, so you can avoid them before you begin.

Not rebalancing your portfolio

Remember how we worked so hard to set up our portfolios, say 20 per cent bonds and 80 per cent funds? At the end of the year you'll notice your funds will grow faster than your bonds, and you might see the percentages have shifted to 10 per cent bonds and 90 per cent stocks. This is called portfolio drift and it puts you in a riskier position. You need to rebalance your portfolio by either selling some of your stock to buy bonds, or adding in more bonds. You only need to do this if your portfolio has shifted 5 per cent off its mark, however, so if you moved from 20/80 per cent bonds and stocks to 17/83 per cent bonds and stock, you don't need to rebalance.

Assuming all IPOs make retail investors profits

IPOs used to be a great time to invest in up-and-coming companies. They're cheaper, after all: when Apple IPO'd it was trading for about US\$22 a share. However, in more recent times, IPOs can fall victim to FOMO investing, where you may see a large spike in the stock in the first few days, followed by a large drop. For example, when Oatly, an oat milk company, went public, many investors thought due to its great ESG rating it would perform well in the long term (see [figure 12.3](#), overleaf).

However, once the music stopped, investors realised that potential growth for oat-based alternative milk was not as large as had been originally proclaimed, and there was rising competition (there's more than one oat milk brand out there, and there is more than one milk alternative available).